



company. “We have firmed up our plans for the future. Our private brands’ portfolio contributes 13-14 per cent of our overall business. The key growing private brands include Smart Choice, Double Tick, Num-keen representing major food categories, while HandsOn, Clean Home, Bath & Beauty Co are our fast growing labels in the home-cleaning and personal care space. In the home and kitchen segment, we have witnessed increased demand for our Inscapes & Kitch private brands,” says Goenka.

With nearly 8 per cent of its business coming from private labels, the ₹6,738-crore (revenues, FY21) METRO Cash & Carry India is now pushing its products in general trade as well. “Traders and *kiranas* are buying a lot more fast-moving consumer goods (FMCG) products under own brands, and we witnessed a 10-12 per cent growth for FMCG by *kirana* custom-



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ARVIND MEDIRATTA
MD & CEO, METRO CASH & CARRY INDIA



“One of the biggest benefits that private labels offer to us is that the entire supply chain is controlled in-house, and we don’t have to deal with external uncertainties of the market”

SESHU KUMAR
NATIONAL HEAD - BUYING AND MERCHANDISING, BIGBASKET



“Positioned at the opening price points for smart LED TVs—measuring 32-43 inches—the [private label] brand is doing very well. We are monitoring the market dynamics”

NILESH GUPTA
MD, VIJAY SALES

ers,” says Arvind Mediratta, MD & CEO of METRO Cash & Carry India. Apart from consumer-facing brands like ARO and Fine Life, METRO’s private labels such as METRO Chef and Metro Professional are big successes in the HoReCa (Hotel, Restaurant and Cafe) channels. METRO already has over 1,000 items under its private labels, and is now “more focussed on driving” its in-house brands.

According to Venu Nair, MD & CEO, Shoppers Stop, the leading fashion and apparel retailer has lined up 14 private label brands like Altlife, STOP, Ivy, Fern and Fratini, which cater to segments like menswear, womenswear, kids, beauty, and home décor. Consistent efforts in the space have resulted in the share of private labels growing to 15 per cent, from 11 per cent, in recent years. “The private brands business is one of our key pillars of growth. There is a huge focus on product, placement, and marketing,” says Nair.

Even a relatively new retailer like Purplle.com—a 10-year-old Mumbai-based e-tailer start-up in the beauty and wellness space—has forayed into the private labels space. According to Manish Taneja, Co-founder & CEO, Purplle.com, they now contribute some 45 per cent towards the e-tailer’s parent company Manash Lifestyle. “The beauty and personal care market is growing at 10-15 per cent, while our private brands are growing at 60-70 per cent year-on-year. Private brands are very important for any retailer to thrive,” he says, adding that Purplle aims to increase the contribution of private labels further.

STRATEGIC THINKING

According to Vijay Sales’ Gupta, absence of intermediaries is a key factor that allows retailers to pass the additional benefits to consumers in the form of discounts that further boost the sale of private label items. The sentiment is echoed by bigbasket’s Kumar: “One of the biggest benefits that private labels offer to us is that the entire